SCHEDULE FTA

FIXED TRANSITION AMOUNT

Applicability

This schedule is applicable to all residential and small commercial customers. This schedule is also in effect for all customers that have previously received service on this schedule or Schedule RRB. The rates on this schedule are to be added to the rates from the otherwise applicable schedule(s).

TERRITORY

Within the entire territory served by the utility at any time since December 20, 1995.

RATES

Energy rate, $/kWh

FTA for Residential Rate Schedules	.00513	R
FTA for Small Commercial Rate Schedules	.00541	R

The rates hereunder shall continue in effect, as modified pursuant to Special Condition 6 below, until termination of this rate schedule as set forth in Special Condition 9 below.

Franchise Fee Differential

A Franchise Fee Differential of 5.78% will be applied to the monthly billings calculated under this schedule for all customers within the corporate limits of the City of San Diego. Such Franchise Fee Differential shall be so indicated and added as a separate item to bills rendered to such customers.

SPECIAL CONDITIONS

1. Definitions. The Definitions of principal terms used in this schedule, including “small commercial” described in Public Utilities Code Section 331(h), are found either herein or in Rule 1, Definitions.

2. Name of Charge. The FTA charge may be presented on each bill as the “Trust Transfer Amount”.

3. Composition of Rates. The rates shall be comprised of the following components: (a) scheduled debt service on the Rate Reduction Bonds; (b) servicing fees; (c) Bond Trustee fees; (d) overcollateralization; (e) allowances for uncollectibles; and, (f) other ongoing expenses.

4. Rights to Revenues. The rights to the Schedule FTA revenues constitute a “transition property” as defined in the P.U. Code and have been established pursuant to a Financing Order (Decision 97-09-057) issued by the Commission. Concurrent with the effective date of this Rate Schedule, SDG&E has sold such transition property to SDG&E Funding LLC, a Delaware Limited Liability Company. The sale of transition property includes (a) all rights, titles, and interest in all revenues, collections, claims, payments, money, or proceeds of/or arising from or constituting fixed transition amounts that are subject of the financing order, (b) the rights to be paid all such amounts, and (c) the right to seek and obtain adjustment to the rates on this schedule as provided in the financing order. SDG&E has no rights to the transition property, FTA or any amounts payable thereunder other than its rights as servicer under the Servicing Agreement.

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